NASM VIRTUAL COACHING SPECIALIST (VCS)

Chapter 2: Building a Business

National Academy of Sports Medicine — Evidence-Based Telehealth Curriculum

Chapter 2Building a Business
Lesson 1The Virtual Coaching Business

Building a successful virtual coaching business is not as simple as setting up a video conferencing account, launching a website, and being passionate about helping clients. A sustainable business requires strategic planning and considerations that extend beyond having knowledge of exercise science principles. This chapter will provide information related to financial forecasting, budgeting, bookkeeping, sales and marketing, and how to differentiate a virtual coaching business in a competitive marketplace.

Learning Objectives

After completing this chapter, the NASM Virtual Coach will have the ability to do the following:

- **Identify** qualities of an entrepreneur.
- **Determine** the key components in a business plan.
- **Write** a virtual coaching business plan.

Introduction

Building a successful business requires time, perseverance, hard work, and patience, but the rewards are limitless! When the fitness professional is able to build a business, they create an opportunity to provide a life and the freedom they desire. Building a business requires a different skill set from simply performing a job. It often requires a wide range of personal, technical, and financial skills as well as entrepreneurial spirit.

One key step to building a successful business is developing a carefully crafted business plan. A business plan can help provide a blueprint and a structured plan that will help the fitness professional build a successful, thriving business.



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Business plans will be specific to each business and business owner as business owners will have many different goals—both personal and professional. For example, a business model for a company that will provide the owner and his family with a comfortable living for generations is different from a business plan that will provide the owner with the ability to work with flexible hours, an additional household income, and travel freely. Just as personal goals can change over time, a business's purpose and direction can change overtime as well. Developing a living business plan that is carefully thought out, well-crafted, and routinely updated will allow the fitness professional to build a business that fits their vision for both personal and professional success.

This chapter will provide an overview of the purpose of a virtual coaching business, the qualities of entrepreneurship, and how to build a business plan. The chapter will identify the mission of the business as well as address marketing the business, selling the business's services or products, and how to manage the financial aspects of the business.

Purpose of a Virtual Coaching Business

Online businesses have been around for over 30 years and businesses of all sizes now operate solely online. Businesses that were once only found in brick-and-mortar locations are now becoming more popular in an online marketplace rather than in physical locations. Groceries, shoes, and even new film releases are all presented to consumers from the comfort of their home. The world has shifted to an acceptance of and reliance on virtual commerce.

In the current market, there are many unknowns that turn into high risks for a new business. The risk of an economic downturn is always on the mind of a successful entrepreneur. When sales slow down, a business still has employees and bills to pay. Building a successful business that is dependent on someone else (e.g., training clients at a gym someone else owns) does not provide the entrepreneur with complete control over their success. Similarly, building a business with large overhead not only requires massive amounts of startup capital, but also places the fitness professional under financial stress during periods of slow economic growth.

Food for Thought

In 2019, the virtual fitness coaching industry was valued at over $6 billion and is expected to reach almost $60 billion by 2027 (Rake & Gaikwad, 2020).



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Virtual coaching businesses have existed in various forms for many years but have recently seen substantial growth as more consumers are becoming comfortable with, and even preferring, online coaching. This industry is at a tipping point that is starting to disrupt the in-person training industry, which has dominated the personal training market since its inception. Fitness professionals are becoming more comfortable with virtual coaching, which provides more opportunities for them to start their own business. Virtual coaches can start with little overhead and still work as an in-person fitness professional while building up their virtual coaching startup to a self-sustaining, thriving online business.

As the world shifts to an ever-larger virtual presence, clients are looking for ways to integrate health and fitness into the virtual world. Fitness professionals must find a path to meet the demand for virtual services that not only provides the best training for clients, but also provides the same, or greater, job stability that in-person training offers.

Qualities of an Entrepreneur

The Internet has made being an **entrepreneur** or **business owner** more accessible. The terms *entrepreneur* and *business owner* are often used interchangeably. However, there are differences between the two (Marks, 2012; Spring, 2014). In fact, over 18% of small businesses do not see themselves as entrepreneurs (Huefner & Hunt, 1998).

Small business owners are typically local businesses with one or a few physical locations within a small geographic area. They are often well-known throughout the community as a business owner and have deep personal connections with their customers. A business owner typically spends most of their time working *in* their business instead of *on* their business. Entrepreneurs are often small business owners as well; however, sometimes entrepreneurs may enter a new business but not own it. Other times, an entrepreneur may be in between businesses after selling theirs.

Food for Thought

Working ***in*** the business includes training clients, responding to customer service e-mails, and bookkeeping.

Working ***on*** the business includes developing training protocols, creating and testing marketing strategies, crafting customer service policies, structuring corporate guidelines, and building financial projections.

In the early stages of a business, the business owner will be focused primarily on working *in* the business. However, as a business grows, the entrepreneur will need to shift much of their focus to working *on* the business.

Entrepreneur

A business owner who develops systematic, repeatable, scalable, and teachable processes to grow a business.

Business owner

An individual or group who owns a business entity and has final decision-making authority as well as first right to profits

Chapter 2Building a Business

Lesson 1The Virtual Coaching Business

Consider the qualities of an entrepreneur:

- Has a vision of the future: looking not just at the next week, but the next month, quarter, year, decade
- Continues to test and modify their business until they achieve their vision
- Understands how to share their vision with others
- Wants full control over their destiny
- Enjoys a challenge
- Takes risk: Being able to take risks is the most important and common trait of entrepreneurs (Cramer et al., 2002). Taking calculated risk, but not unnecessary risk, can vastly improve the odds of becoming a successful entrepreneur.
- Spends equal or more time working on their business versus working in their business



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Introduction to a Virtual Coaching Business Plan

A **business plan** is the instruction manual for how the business will grow, which outlines the path the fitness professional will follow to achieve their overall vision. As an instruction manual, a business plan is a living document that must be reviewed, updated, and rewritten as a business evolves and changes. Having a business plan gives the fitness professional a place to put their thoughts into words and gives them the ability to easily share their vision with others.

The length and detail of the fitness professional's business plan can and will vary depending on several factors. If the new entrepreneur is seeking to take out a bank loan or take on partners or investors, they will need to go into greater detail on financial information than they would if they were starting a business on their own. If the business owner is a **solopreneur** (an entrepreneur with no employees or partners), then the goal of the business plan is to have a guide to keep the fitness professional on course while building their business.

Please note: After each description of the different sections of the business plan are at least three Business Plan Questions to help the fitness professional develop their own well-thought-out and detailed business plan. These prompts will be followed by an example of properly developed answers that will be used to formulate a final business plan, which will be completed at the end of this chapter.

An example company, called Executive Fitness, will be created to demonstrate what well-thought-out answers to the business plan writing prompts should look like. The example company's goal is to provide online fitness coaching to busy office professionals who do not have time to visit a gym on a consistent basis. The example company will be expanded on as the business plan is developed further in this chapter.

The Business Plan Questions should be completed *after* reading the entire chapter because many of these questions and ideas work and build off of each other. In order to develop a complete picture of what the fitness professional's virtual coaching business will look like, the fitness professional must understand all of the concepts in this chapter first.

Food for Thought

A business plan should be treated as a living document. It should be reviewed, referenced, and updated regularly.

Business plan

A document that outlines how a business will be structured, grow, and achieve goals that are set forth by the business owner or executive team.

Solopreneur

An entrepreneur who runs a business on their own.

Executive Summary



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The first section of a business plan is the **executive summary**. In the executive summary, the fitness professional will describe the purpose of the business. This part is the who, what, and why of the business.

- **Who** are the founders and key people in the business? Who is the business targeting? What other stakeholders should be considered?
- **What** makes this business different, more effective, and, most importantly, unique?
- **Why** are clients going to come to this new, untested, and unproven business?

Each section of the executive summary can expand over time into their own sections of the business plan as the fitness professional develops more experience and a more detailed path for bringing their overall vision for the business to fruition.

Mission and Vision Statements

As an entrepreneur, the fitness professional is the business's management team. The fitness professional is, essentially, the director of everything. This is where, as the company's chief visionary, they will lay the foundation for the future of the company for years to come. The fitness professional should discuss where they see the business in 1, 5, and 10 years along with the milestones of how they plan to get to each of those goals. They will discuss the driving force behind their business and their company's vision and mission statement.



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A **mission statement** is what drives the business's culture and progress over time. A mission statement is the entrepreneur's reason for wanting to start this business and should convey a meaning that resonates (and motivates) with the founder, employees, and clients (Bart, 1997).

A **vision statement** is what the business will look like in the long-term, over the next 5 to 10 years or more. If the overall goals of the business are met, the vision statement should describe an outside, broad view of the company.

Executive summary

A section of the business plan that provides an overview of what will be covered in the document.

Mission statement

A mission statement is the entrepreneur’s reason for wanting to start this business and should convey a meaning that resonates (and motivates) with the founder, employees, and clients.

Vision statement

What the business will look like in the long-term, over the next 5 to 10 years or more.

Chapter 2Building a Business
Lesson 2Building a Virtual Coaching Business Plan: Part I

Business Plan Questions

1. Who is the target audience? What challenge does the target audience face that the business can help solve?
2. What is the fitness professional's personal connection and motivation to help solve this problem?
3. What does the business look like in 1, 5, and 10 years?

Executive Fitness Example

1. Who is the target audience? What challenge does the target audience face that the business can help solve?

The target audience is busy business professionals who want to give their health, fitness, and nutrition a higher priority but have difficulty finding a sustainable path to achieve their goals.

2. What is the fitness professional's personal connection and motivation to help solve this problem?

This business is owned by someone who, prior to becoming a fitness professional, worked a corporate office job. Firsthand experience with the lack of personal health goals in accomplished individuals is vast. Balancing a 40+-hour work week with family life, being sedentary, lacking motivation to exercise, and not understanding there is a sustainable path to health are all common realities. This allows for empathy with clients and for developing a plan that will fit their aspirations.

3. What does the business look like in 1, 5, and 10 years?

During the first year, systems will be developed and refined while the company services the professional market the owner is most familiar with—those working larger corporate jobs in upper to middle management. After the first year, using feedback from clients combined with additional market research, the company will be able to evolve and expand the service to other professionals in different markets, such as teachers and educators of all levels. The company will also start to bring on employees at that time to ensure high quality of service is maintained. At the 5-year mark, the business will have started partnering with corporations to provide in-house wellness services to employees, as well as continuing to grow the direct-to-client coaching services. At the 10-year mark, the business will be a large company in the online training industry, generating millions of dollars of revenue annually. This growth will require an entire professional management team, along with a strong corporate structure and a constantly updated and refined business plan.

Company Description

A description of the company should be concise yet detailed. Simply stating that a business will conduct online personal training is too vague. Conversely, going into detail about what estimated **customer acquisition cost** (CAC) will be is too in-depth for the executive summary (this will be included in expanded sections of the business plan such as marketing or financial). A description of the business should discuss the purpose of the business and what makes it unique. The uniqueness is often described as the **unique selling proposition** (USP). This is the place that the fitness professional should explain why customers will choose their business over a competitor.

Highlight the true uniqueness of the business. Mentioning features of a business are simply not enough. There was a time when responding to an e-mail within 24 hours or offering text/messaging to a client was unique and rare. However, now that there are more online coaching businesses, these features have become the standard. The fitness professional needs a USP that ***only they bring to their clients***.



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It is also a good idea, and common practice, to include information on any of the company founders, along with their backgrounds. Even if the business owner is a solopreneur, they should be able to sell themselves and explain why their background and experience makes them the most suited to bring their USP to the market.

The company description should also include the management structure of the company. If the business will be starting with partners or employees, their roles and responsibilities should be clearly defined here. Highlight why these individuals will be vital to the business's initial success. If these employees are not included in the description and backgrounds of the company founders, then they should be included here.

Most entrepreneurs are solopreneurs at first. They are the only employee in the business. This means they are working both in and on the business. Take this opportunity to clarify what roles everyone involved will be taking on and what roles may be contracted out. For instance, most entrepreneurs will take on marketing, but few will do their own taxes.

Helpful Hint

There are many gig services, companies that connect consumers or businesses with freelancers to perform various tasks or jobs, that can be found online for minimal cost. These can be utilized for things like creating infographics, editing blogs, and editing videos.

It is also possible to find reputable and affordable online services for things like accounting and legal advice.

Customer acquisition cost (CAC)

How much a new customer costs a business – typically, the cost is determined through money spent on advertising.

Unique selling proposition (USP)

The unique benefit or feature of a product or service that differentiates a business from other businesses offering a similar service or product.

Chapter 2Building a Business
Lesson 2Building a Virtual Coaching Business Plan: Part I

Business Plan Questions

1. What are the unique goals of the business?
2. What makes the company unique to clients? What single thing does the business perform or understand better than anyone else in the industry?
3. Who will the company consist of at inception? What roles will each person have?

Executive Fitness Example

1. What are the short-term and long-term goals of the business?

The company's short-term goals include developing systems to provide customized, but repeatable client experiences. This will help to achieve the long-term goal of increasing coaches and to provide sustainable, high quality, and personalized online fitness coaching to a growing number of clients with a well-trained staff.

2. What makes the company unique for clients? What single thing does the business perform or understand better than anyone else in the industry?

As business owners that had executive careers prior to transitioning to a career in fitness, any future trainers brought on board will also have that experience of having found the balance between work, family, and health. That is an experience that cannot be taught but must be learned to be appreciated. This will allow the trainers to empathize with and understand the client's needs, wants, limitations, and goals better than anyone else in the industry.

3. Who will the company consist of at inception? What roles will each person have?

At inception, the company will consist of one owner-operator with goals to bring on up to four additional online trainers during a 2-year period. For the first year, the owner will balance their time between marketing, product development, sales, and servicing clients. At any time the owner feels overwhelmed in a specific area, help will be sought out in that specific area.

Identify Target Audience

The final section of the Executive Summary in the business plan should identify who the clients will be. Most business owners already have some idea of who their target audience is. Having too wide a target audience, the business's message will get lost and not resonate with clients. A narrow target audience and will be too specific for anyone to hear the message. The target audience should be someone the fitness professional can relate to, that they know their USP will help, and that they feel will provide the business with enough clients to grow and expand.

Realize that every business will have clients who are outside of their target audience and their target audience will change over time, especially in the early stages of the business. For example, some fitness professionals may start out only wanting to work with competitive physique athletes, but quickly find out they prefer working with seniors who are trying to improve their quality of life.



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Business Plan Questions

1. What is the ideal client's goal?
2. Where does the ideal client live?
3. How old is the ideal client?
4. How long is the average client enrolled in coaching for?
5. Are there any other specifics about the ideal client?

Executive Fitness Example

1. What is the ideal client's goal?

The ideal client's goal is not just to lose weight or get into shape. The ideal client's goal is to find a balance between life, work, and physical health.

2. Where does the ideal client live?

In order to provide prompt service to clients and properly manage the limited time a small business owner or business professional has, the ideal client is located in North America. Exact geographical location outside of that does not matter, as this is a virtual coaching company.

3. How old is the ideal client?

The ideal client is between the ages of 30 and 45 and is most likely settling into their second job in the same profession.

4. How long is the average client enrolled in coaching for?

Based on previous experience with in-person training and nutrition clients, the average client will need to be enrolled in the coaching program for at least 3 months before achieving their goals and possessing the knowledge to manage their own nutrition and training.

5. Are there any other specifics about the ideal client?

Based on both personal and professional experiences, the ideal client has one to two children under the age of 10. Experience in finding ways to balance training with family life, in addition to work, allows the company to bring a unique and sought-after service to clients.

Products and Services

Online Personal Training is not a product *per se*, but rather a service. The product description in the business plan must include detailed descriptions of what features will be brought to the market and what makes the product or service unique. Products and/or services should always be improving and changing. Offering the same service with no improvements is a quick way to become irrelevant in the highly competitive landscape of businesses, especially with online businesses. With that said, the downfall of many entrepreneurs is trying to perfect their product too much prior to actually having real-world feedback.

This section of the business plan should focus on the **minimum viable product (MVP)** that the business will be starting with. Remember the business plan is a living document that can be modified and updated as product offerings change. There are many approaches to developing an MVP. In this section, it will be broken down step-by-step to develop multiple product offerings that can get to market quickly and are easy to improve based on feedback from customers.

Helpful Hint

Before starting to develop the MVP, do some simple market research and gain insight to what future competitors are doing. If the top competitors of the business are known, browse those companies' websites, e-mail the companies with questions, and read their content. If the business's competitors are unknown, search online for keywords that potential clients would most likely use to find services the business is going to offer. This is not to steal anything from competitors but, rather, to ensure the business is offering industry-standard items. The fitness professional may even find that what all competitor companies offer is not good enough for their clients and they will have the opportunity to build an industry-changing product.

Minimum viable product (MVP)

A product that provides the bare minimum features to satisfy customer demand – this is the foundation for a product that will be developed and modified based on market feedback.

Chapter 2Building a Business

Lesson 2Building a Virtual Coaching Business Plan: Part I

The first step is to develop a base service. This base service forms the foundation for the USP and should be something the target market audience needs, as discussed in the previous section. Building on the example of offering online coaching to busy professionals, the base service will be set as Online Fitness Coaching.

Now that the product has been established, it is time to expand on what that product will actually include. These are the **features and benefits**. Benefits of a product will be discussed in the sales section of this chapter. For product development, the focus will be on features.

Features are the USP of a business's services—essentially, what the service is. This is when the fitness professional will use their creativity and passion to accurately describe their product. To illustrate this point, here is an example of some simple features of a common dry-erase marker:

1. Bright, vibrant colors
2. Ergonomic fit to left or right hand
3. Strong, durable casing
4. Ability to write on multiple surfaces
5. Easily erased
6. Secure cap to prevent accidental markings
7. Soft felt tip that does not require sharpening
8. Disposable, no messy ink to refill



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These features are not unique; they are features shared by almost all dry-erase markers. However, the fitness professional should be able to emphasize not only the uniqueness of their product, but uniquely emphasize the common features of their product. Now, using this strategy to find the features of Online Fitness Coaching, it is possible to develop answers for the example company.

Please note: This is not meant to be an all-inclusive list of what online coaching is or should be but simply a list for the specific example company that is being built.

Features and benefits

Features are descriptions of what a product or service offers customers – Benefits are how those features help solve a customer's problem.

Features of Online Fitness Coaching Example

1. Weekly check-ins with the coach that build toward sustainable fitness
2. Custom training programs built around goals
3. 24/7 e-mail access to the coach with a guaranteed reply within 24 hours
4. Access to the client-only newsletter, discussing the latest evidence-based fitness practices
5. Coaching designed with flexibility in mind for individuals with busy schedules

This simple list of only five features highlights common offerings in online fitness coaching. However, most online coaches do not promote their common features (1 to 4) and simply highlight their USP (5). A common example of this in other industries is the Schlitz Beer company, which took their product to the top selling beer in the world simply by highlighting how beer was made as their USP. Their technique was standard in the beer industry, but no companies had mentioned how beer was made before Schlitz (Harter, 2018).

Business Plan Questions

1. What are two common competitor features that the company might offer clients?
2. What are two standard features that other companies are not highlighting?
3. Describe the USP in 1 to 2 sentences.

The features have now been created for the product, Online Fitness Coaching. The example company officially has its first product. However, having one product is not good for the longer-term plan of gaining feedback and modifying the product. Therefore, a few offerings should be created based on the core product, Online Fitness Coaching.

Helpful Hint

Find balance when offering multiple products and services. Not only will the fitness professional put a lot of time and effort into developing products that may not be successful, it may actually hurt sales. Overchoice is when there are so many options in the marketplace that a buyer is overwhelmed and may choose to not purchase anything at all (Settle & Golden, 1974).

First, take the example company's base product of Online Fitness Coaching and expanding it into three distinct product offerings:

1. Online Exercise Coaching
2. Online Nutrition Coaching
3. Online Exercise and Nutrition Coaching (which contains both exercise and nutrition coaching)

The company will need to modify its USP or features from the original product to fit these expanded offerings. There will be some crossover and additional features. This is commonly seen in pricing charts, as seen in **Table: Online Fitness Coaching Product Features Examples**.

Online Fitness Coaching Product Features Examples

Online Exercise Coaching	**Online Nutrition Coaching**	**Online Exercise and Nutrition Coaching**
Weekly check-ins with the coach that build toward sustainable exercise habits	Weekly check-ins with the coach that build toward sustainable nutrition habits	Weekly check-ins with the coach that build toward sustainable exercise and nutrition habits
Custom exercise training programs built around goals and preferences	Custom nutrition program built around goals and preferences	Custom exercise and nutrition programs built around goals and preferences
24/7 email access to the coach with a guaranteed reply within 24 hours	24/7 email access to the coach with a guaranteed reply within 24 hours	24/7 email access to the coach with a guaranteed reply within 24 hours
Access to the client-only newsletter, discussing the latest evidence-based exercise practices	Access to the client-only newsletter, discussing the latest evidence-based nutrition practices	Access to the client only newsletter, discussing the latest evidence-based exercise and nutrition practices
Coaching designed with flexibility in mind for individuals with busy schedules	Coaching designed with flexibility in mind for individuals with busy schedules	Coaching designed with flexibility in mind for individuals with busy schedules

With this update, there are now three products to offer clients and test in the marketplace. Because of this, there have also been simple upgrades and add-ons developed for clients, which will increase sales. For instance, if a client enrolls in Online Exercise Coaching, but after a consultation with the business owner feels they should also partake in nutrition coaching, it is a simple upsell offer to Complete Online Fitness Coaching. This will also work in reverse to increase **customer's lifetime value (CLV)**. If a client is canceling their services at $150 per month for Complete Online Fitness Coaching, the fitness professional can offer to downgrade the client to either nutrition or exercise coaching at only $100 per month.

Customer lifetime value (CLV)

The amount that a customer will spend with business over a lifetime.

Each of these three offerings will be further developed to produce quality minimum viable products (MVPs) that will provide product add-ons, options, and a pricing structure that will be competitive in the marketplace.

Business Plan Questions

1. What is the core service?
2. What are two variations of that service and how do those variations relate to the core service?
3. What is one unique feature for each of those new variations?

Executive Fitness Example

1. What is the core service?

The core service for Executive Fitness is Complete Online Fitness Coaching, which includes both exercise and nutrition coaching.

2. What are two variations of that service and how do those variations relate to the core service?

Two components of Complete Online Fitness Coaching will be exercise and nutrition coaching. These can each be turned into a standalone service and then offered as the original, combined service. Both exercise and nutrition coaching are components of the core service that can be broken down into separate services to meet the demands and goals of clients.

3. What is one unique feature for each of those new variations?

Clients now have programs that are customized to focus on areas of their health that they feel they need the most support from a trainer on, instead of a one-size-fits-all package.

Canned, Predesigned Programs

Many online personal trainers seek to write predesigned exercise and nutrition programs and sell them as one-off purchases. This approach may not be the most sustainable path for all businesses to take. Just like working with an in-person training client, training programs should be customized for each person. A training program that works for a 28-year-old former college athlete who wants to focus on muscle hypertrophy most likely will not work for a 65-year-old who wants to improve their ability to carry grocery bags up the stairs.



Figure Customize Predesigned Training Templates

Consider the customer lifetime value (CLV). A customer who makes a recurring monthly payment for customized training at $100 per month for 4 months is worth 16 times more than someone who pays $25 for a one-time exercise program. They are also more likely to refer clients back to the business versus the templated training program that can be e-mailed to a friend.

This is not to say templates do not have a place in business. Templates can be massive time savers for the busy fitness professional and can make processes and work more efficient and consistent. Having pre-made training templates that are easy for the business owner to modify and customize for each client will save hours of work developing programming for each client (**Figure: Customize Predesigned Training Templates**). While similar, this differs from using a generic approach to programming for every client. For instance, developing five training templates with no specific exercises can save time having to recreate the same thing for every client.

Here are some template examples:

- Template 1: A 2-day-per-week full-body program
- Template 2: A 3-day-per-week program broken down into push/pull/legs
- Template 3: A 5-day-per-week program consisting of back/biceps, shoulders/chest/triceps, and legs

Lastly, consider the customer acquisition cost (CAC). New customers are not free—they cost time, money, and energy. The business may not have a marketing budget, but the time that is spent making sales and creating content is time away from running the business and time away from providing services to clients. It is generally more cost effective to sell to someone who is already a customer than to try and acquire a new customer.

Live One-on-One Coaching

Now that the three product offerings have been developed in nutrition, exercise/training, and nutrition and exercise coaching combined, it is time to build further on these products and provide some additional options to future clients. It is important to have valuable products for upsell to a client that they will benefit from. This will not only help clients increase their overall success but will also help boost the company's revenue as the CLV increases with each add-on. A simple option for this is to offer live video coaching for clients (**Figure: Live Video Coaching**). This is especially useful when the fitness professional is starting out and does not have a large client base. It enables the fitness professional to spend more time per client and obtain direct and instant feedback, and it provides more income per client for the business owner while they grow their business.

Continuing with the example company, three product offerings have been developed:

1. Online Exercise Coaching
2. Online Nutrition Coaching
3. Complete Online Fitness Coaching



FigureLive Video Coaching

A simple add-on for each of these products is a single-session video consultation. For a nutrition client, this could include a video call with the client while they go grocery shopping, being right there with them while they navigate the grocery store and work to make healthier food choices. For an exercise training client, this could include form checks or navigating the gym for a client who is nervous about going alone. Another option for add-ons is an in-person session. If the business owner has an online client who is local to their area, they could train with them at their gym, home, or outside (depending on their training/goals). For the nutrition client, they could actually go grocery shopping with them or help them learn how to meal prep. Adding these on to the product offerings, there is now a product line (**Table: Upsell Options and Add-Ons**).

Upsell Options and Add-Ons

Online Exercise Coaching	Online Nutrition Coaching	Online Exercise and Nutrition Coaching

Upsell option: Fitness and Nutrition Coaching	Upsell option: Fitness and Nutrition Coaching	Upsell option: N/A
Add-on option: Additional, 30-minute live video consult	Add-on option: Additional, 30-minute live video consult	Add-on option: Additional, 30-minute live video consult

With multiple coaching options, the chances have increased to upsell products to clients who will benefit from them, offer premium add-ons for existing clients, and keep the product overload to a minimum. The final step is pricing services and add-ons.

Hybrid Model

The fitness professional also has the opportunity to build out their virtual coaching business with in-person clients, as well. This can allow the fitness professional to retain clients longer, take on a greater client load, and build their own online business while still working as an in-person trainer.

Options for this include the following:

1. Working with nutrition clients online
2. Intermediate- to advanced-level training clients who may not need direct supervision of a personal trainer but would like accountability and program design
3. Utilizing client referrals for friends and family who may not be local to the training facility

Coach's Corner

The entrepreneur should keep their focus on their primary goal—their virtual coaching business. While the financial and employment stability that may come with an existing in-person training career is comfortable, the entrepreneur should ensure their attention is set on growing their online business. One of the many benefits of virtual coaching is the ability to take on more clients compared to in-person training. Spending valuable time with in-person training clients not only limits the personal trainer’s earning capability, but it can greatly slow down the rate of growth for the virtual business. The entrepreneur should find a balance between the two that steadily shifts focus toward the virtual coaching business.

Market and Competitive Analysis

Fitness is an extremely competitive space, with almost 650,000 Americans employed by fitness or recreation centers and an expected growth rate of approximately 15% between 2018 to 2028 (Torpey, 2020; U.S. Bureau of Labor Statistics, 2019). There is no difficulty in finding competitors in the fitness industry, no matter what niche a business targets. Analyzing the competitors in a market can be a daunting task; however, using a few key metrics (e.g., number of competitors in the market, average price of services, and the number of service variations offered) and incorporating a simplistic approach to designing pricing models and a target market, the fitness professional can save time and produce a quality business plan that will accelerate their growth by avoiding costly mistakes.



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When pricing any product, it is important to already know who the target market will be, what features will be offered with a well-defined product, and what variations of the product will be created. Once the fitness professional has these determined, they can take a look into the pricing of their competitors and accurately price themselves for the market. If the price is too low, there will not be enough revenue to pay the business owner a reasonable salary for work they have performed. If the price is too high, the business owner runs the risk of not having enough clients to pay themselves at all, or worse, they will have no clients. Many strategies exist for setting pricing for a new product. The most relevant and practical strategies will be broken down, including their benefits and downsides, and eventually one will be chosen for the example company. Before picking a pricing strategy, the fitness professional should conduct market research of future competitors in the area.

A simple online search for terms related to the target market and online coaching will produce ample results. Using the example company, a search for “online fitness coaching busy professionals” produced five quality results on the first page of the search engine. This provided pricing for five companies that offer online monthly coaching as follows in **Table: Market Research Results Example**.

Market Research Results Example

Company	**1**	**2**	**3**	**4**	**5**
Price	$199	$125	$595	$159	$139

The average price for monthly online coaching with these five companies is $243.

All of these companies offer similar services, each having their own unique USP. After this competitive analysis, it is known the average price in the market for online coaching is $243 per month and that the range in pricing for similar services is wide.

Pricing Strategies

The following are four different pricing strategies that will help guide the entrepreneur pricing strategy in a simple way:

Economy Pricing: Low priced, affordable pricing for everyone – Profit margins in this pricing category are small. This pricing strategy is designed to target a mass, broad market. In a service industry, this pricing strategy is typically reserved for large corporations.

Skimming Pricing: This pricing strategy charges a higher price at the start of the company and eventually lowers the pricing as more competitors enter the market. This strategy is typically used for companies entering a new market or market segment that is not very competitive.

Penetration Pricing: This strategy sets pricing lower at the start of the company in order to gain a share of the market quickly. Once the business has met its market share goals, prices are raised to a higher level. This strategy also allows for feedback from customers and helps with the decision on where a valid price point should be set.

Premium Pricing: Setting a high price is used to define the product or brand as a luxury item. In the mind of the consumer, the high price must mean a high-quality product. This strategy is used by high-end brands in the automotive and luxury watch industries.

Quality of Product and Pricing

		Quality of Product	
		Low	High
Price	Low	Economy	Penetration
	High	Skimming	Premium

Note that the entrepreneur may pivot at different points in time to different pricing strategies based on sales and feedback from customers. However, ensure that the business plan is updated to consider the new pricing strategy.

Whichever pricing model is chosen, price according to the target market. If the target market is college students, the pricing will need to be at the lower end of the market. If the target market is celebrities, then pricing will need to be at the higher end of the market.

Business Plan Questions

1. Will the service best fit into an economy, penetration, skimming, or premium price strategy?
2. Will the company charge a one-time, pre-paid package fee or a recurring monthly subscription?
3. Will the company test other pricing strategies or price points?

Executive Fitness Example

1. Will the service best fit into an economy, penetration, skimming, or premium price strategy?

The long-term goal of the service is to be priced as a premium service. To start the company and ensure that service quality commands a premium price point, services will be priced in the middle of the market, in a hybrid of penetration and premium pricing.

2. Will the company charge a one-time, pre-paid package fee or a recurring monthly subscription?

The product will be a recurring monthly subscription with a 3-month minimum subscription required. This will help to keep the cost lower, but still offer premium pricing. This will also allow the company to have a more predictable revenue stream.

3. Will the company test other pricing strategies or price points?

Utilizing feedback from clients and comparing that with projections and goals, the company will adjust pricing accordingly at 3-month intervals in the first year of business.

Continuing with the example company, because research showed there is a wide range of prices in the market, it is time to discover where the example company falls in the market. For this, a simple solution is to use a hybrid of the premium and penetration pricing models and be prepared to adjust based on feedback from clients. Setting a price around the average market price of $243 and deciding on $249 will put the business into a prime position for the average consumer. (Using an odd number for pricing is called psychological pricing—there is more resistance to $250 versus $249).

Helpful Hint

Do not change prices too often. Re-evaluate pricing every 3 months in the first year of business, every 6 months in the second year, and then yearly thereafter. Also, consider inflation in the economy. The average inflation rate is 3%, which means that prices will double about every 20 years. If prices are set at $100 for 10 years and that price is suddenly increased to $150 to offset inflation, many customers will be unhappy. However, a smart entrepreneur will plan for price increases. A good rule of thumb is a 5% price increase every other year or 10% every 3 years. This will help prevent a pricing shock to customers and a decline in purchasing power over time.

The example company now has a price of $249 for the coaching product, but still has three products. Pricing all three at the same rate would not give customers a price choice and makes it harder for the consumer to differentiate between products. $249 can be used for the base price or the upgrade price. The example company will use $249 as the upgrade and $199 for the base price, as a 25% upgrade price ($50 in this example) is a substantial revenue increase for the business, and a fair price for the client. Refer to **Table: Base Price and Upgrade Price Example** for the pricing options.

Base Price and Upgrade Price Example

Online Exercise Coaching	**Online Nutrition Coaching**	**Complete Online Fitness Coaching**
$199/month	$199/month	$249/month

The company now has three products, each with their own pricing and the ability for clients to upgrade or downgrade. Downgrading is an important option to provide clients. It is better to have a client downgrade rather than leave altogether. Using these tools, the entrepreneur can create their own product lineup and pricing models that allow for products to be priced competitively in the market, upsell useful services to clients, and retain clients with different services that meet a client's changing needs.

Helpful Hint

- Add-ons can either cost more than the original product and require less sales or can cost less but will require more sales.
    - Cost more: less products that need to be created
    - Cost less: will need new products more often to keep small amounts of money coming in
- After operating for 6 months, the entrepreneur should re-evaluate services that are selling and see if they can find where most of their revenue comes from.
    - For example, if a business has 80% of their sales coming from 20% of their products (referred to as the Pareto Principle or the 80/20 principle), drop products that do not sell and/or do not generate enough revenue to warrant continued development.

Food for Thought

Two common pricing options include having many clients who pay a little or a few clients who pay a lot. Having a few clients who pay more typically means there will be fewer daily headaches. It is easier to communicate with 10 people versus 100. The tradeoff for that is if two clients leave, the business will lose 20% of its income. One of the important factors of pricing is to find a balance between workload and revenue security.

Introduction to a Virtual Coaching Business Plan

A **business plan** is the instruction manual for how the business will grow, which outlines the path the fitness professional will follow to achieve their overall vision. As an instruction manual, a business plan is a living document that must be reviewed, updated, and rewritten as a business evolves and changes. Having a business plan gives the fitness professional a place to put their thoughts into words and gives them the ability to easily share their vision with others.

The length and detail of the fitness professional's business plan can and will vary depending on several factors. If the new entrepreneur is seeking to take out a bank loan or take on partners or investors, they will need to go into greater detail on financial information than they would if they were starting a business on their own. If the business owner is a **solopreneur** (an entrepreneur with no employees or partners), then the goal of the business plan is to have a guide to keep the fitness professional on course while building their business.

Please note: After each description of the different sections of the business plan are at least three Business Plan Questions to help the fitness professional develop their own well-thought-out and detailed business plan. These prompts will be followed by an example of properly developed answers that will be used to formulate a final business plan, which will be completed at the end of this chapter.

An example company, called Executive Fitness, will be created to demonstrate what well-thought-out answers to the business plan writing prompts should look like. The example company's goal is to provide online fitness coaching to busy office professionals who do not have time to visit a gym on a consistent basis. The example company will be expanded on as the business plan is developed further in this chapter.

The Business Plan Questions should be completed *after* reading the entire chapter because many of these questions and ideas work and build off of each other. In order to develop a complete picture of what the fitness professional's virtual coaching business will look like, the fitness professional must understand all of the concepts in this chapter first.

Food for Thought

A business plan should be treated as a living document. It should be reviewed, referenced, and updated regularly.

Business plan

A document that outlines how a business will be structured, grow, and achieve goals that are set forth by the business owner or executive team.

Solopreneur

An entrepreneur who runs a business on their own.

Executive Summary



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The first section of a business plan is the **executive summary**. In the executive summary, the fitness professional will describe the purpose of the business. This part is the who, what, and why of the business.

- **Who** are the founders and key people in the business? Who is the business targeting? What other stakeholders should be considered?
- **What** makes this business different, more effective, and, most importantly, unique?
- **Why** are clients going to come to this new, untested, and unproven business?

Each section of the executive summary can expand over time into their own sections of the business plan as the fitness professional develops more experience and a more detailed path for bringing their overall vision for the business to fruition.

Mission and Vision Statements

As an entrepreneur, the fitness professional is the business's management team. The fitness professional is, essentially, the director of everything. This is where, as the company's chief visionary, they will lay the foundation for the future of the company for years to come. The fitness professional should discuss where they see the business in 1, 5, and 10 years along with the milestones of how they plan to get to each of those goals. They will discuss the driving force behind their business and their company's vision and mission statement.



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A **mission statement** is what drives the business's culture and progress over time. A mission statement is the entrepreneur's reason for wanting to start this business and should convey a meaning that resonates (and motivates) with the founder, employees, and clients (Bart, 1997).

A **vision statement** is what the business will look like in the long-term, over the next 5 to 10 years or more. If the overall goals of the business are met, the vision statement should describe an outside, broad view of the company.

Executive summary

A section of the business plan that provides an overview of what will be covered in the document.

Mission statement

A mission statement is the entrepreneur’s reason for wanting to start this business and should convey a meaning that resonates (and motivates) with the founder, employees, and clients.

Vision statement

What the business will look like in the long-term, over the next 5 to 10 years or more.

Chapter 2Building a Business
Lesson 2Building a Virtual Coaching Business Plan: Part I

Business Plan Questions

1. Who is the target audience? What challenge does the target audience face that the business can help solve?
2. What is the fitness professional's personal connection and motivation to help solve this problem?
3. What does the business look like in 1, 5, and 10 years?

Executive Fitness Example

1. Who is the target audience? What challenge does the target audience face that the business can help solve?

The target audience is busy business professionals who want to give their health, fitness, and nutrition a higher priority but have difficulty finding a sustainable path to achieve their goals.

2. What is the fitness professional's personal connection and motivation to help solve this problem?

This business is owned by someone who, prior to becoming a fitness professional, worked a corporate office job. Firsthand experience with the lack of personal health goals in accomplished individuals is vast. Balancing a 40+-hour work week with family life, being sedentary, lacking motivation to exercise, and not understanding there is a sustainable path to health are all common realities. This allows for empathy with clients and for developing a plan that will fit their aspirations.

3. What does the business look like in 1, 5, and 10 years?

During the first year, systems will be developed and refined while the company services the professional market the owner is most familiar with—those working larger corporate jobs in upper to middle management. After the first year, using feedback from clients combined with additional market research, the company will be able to evolve and expand the service to other professionals in different markets, such as teachers and educators of all levels. The company will also start to bring on employees at that time to ensure high quality of service is maintained. At the 5-year mark, the business will have started partnering with corporations to provide in-house wellness services to employees, as well as continuing to grow the direct-to-client coaching services. At the 10-year mark, the business will be a large company in the online training industry, generating millions of dollars of revenue annually. This growth will require an entire professional management team, along with a strong corporate structure and a constantly updated and refined business plan.

Company Description

A description of the company should be concise yet detailed. Simply stating that a business will conduct online personal training is too vague. Conversely, going into detail about what estimated **customer acquisition cost** (CAC) will be is too in-depth for the executive summary (this will be included in expanded sections of the business plan such as marketing or financial). A description of the business should discuss the purpose of the business and what makes it unique. The uniqueness is often described as the **unique selling proposition** (USP). This is the place that the fitness professional should explain why customers will choose their business over a competitor.

Highlight the true uniqueness of the business. Mentioning features of a business are simply not enough. There was a time when responding to an e-mail within 24 hours or offering text/messaging to a client was unique and rare. However, now that there are more online coaching businesses, these features have become the standard. The fitness professional needs a USP that ***only they bring to their clients***.



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It is also a good idea, and common practice, to include information on any of the company founders, along with their backgrounds. Even if the business owner is a solopreneur, they should be able to sell themselves and explain why their background and experience makes them the most suited to bring their USP to the market.

The company description should also include the management structure of the company. If the business will be starting with partners or employees, their roles and responsibilities should be clearly defined here. Highlight why these individuals will be vital to the business's initial success. If these employees are not included in the description and backgrounds of the company founders, then they should be included here.

Most entrepreneurs are solopreneurs at first. They are the only employee in the business. This means they are working both in and on the business. Take this opportunity to clarify what roles everyone involved will be taking on and what roles may be contracted out. For instance, most entrepreneurs will take on marketing, but few will do their own taxes.

Helpful Hint

There are many gig services, companies that connect consumers or businesses with freelancers to perform various tasks or jobs, that can be found online for minimal cost. These can be utilized for things like creating infographics, editing blogs, and editing videos.

It is also possible to find reputable and affordable online services for things like accounting and legal advice.

Customer acquisition cost (CAC)

How much a new customer costs a business – typically, the cost is determined through money spent on advertising.

Unique selling proposition (USP)

The unique benefit or feature of a product or service that differentiates a business from other businesses offering a similar service or product.

Chapter 2Building a Business
Lesson 2Building a Virtual Coaching Business Plan: Part I

Business Plan Questions

1. What are the unique goals of the business?
2. What makes the company unique to clients? What single thing does the business perform or understand better than anyone else in the industry?
3. Who will the company consist of at inception? What roles will each person have?

Executive Fitness Example

1. What are the short-term and long-term goals of the business?

The company's short-term goals include developing systems to provide customized, but repeatable client experiences. This will help to achieve the long-term goal of increasing coaches and to provide sustainable, high quality, and personalized online fitness coaching to a growing number of clients with a well-trained staff.

2. What makes the company unique for clients? What single thing does the business perform or understand better than anyone else in the industry?

As business owners that had executive careers prior to transitioning to a career in fitness, any future trainers brought on board will also have that experience of having found the balance between work, family, and health. That is an experience that cannot be taught but must be learned to be appreciated. This will allow the trainers to empathize with and understand the client's needs, wants, limitations, and goals better than anyone else in the industry.

3. Who will the company consist of at inception? What roles will each person have?

At inception, the company will consist of one owner-operator with goals to bring on up to four additional online trainers during a 2-year period. For the first year, the owner will balance their time between marketing, product development, sales, and servicing clients. At any time the owner feels overwhelmed in a specific area, help will be sought out in that specific area.

Identify Target Audience

The final section of the Executive Summary in the business plan should identify who the clients will be. Most business owners already have some idea of who their target audience is. Having too wide a target audience, the business's message will get lost and not resonate with clients. A narrow target audience and will be too specific for anyone to hear the message. The target audience should be someone the fitness professional can relate to, that they know their USP will help, and that they feel will provide the business with enough clients to grow and expand.

Realize that every business will have clients who are outside of their target audience and their target audience will change over time, especially in the early stages of the business. For example, some fitness professionals may start out only wanting to work with competitive physique athletes, but quickly find out they prefer working with seniors who are trying to improve their quality of life.



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Business Plan Questions

1. What is the ideal client's goal?
2. Where does the ideal client live?
3. How old is the ideal client?
4. How long is the average client enrolled in coaching for?
5. Are there any other specifics about the ideal client?

Executive Fitness Example

1. What is the ideal client's goal?

The ideal client's goal is not just to lose weight or get into shape. The ideal client's goal is to find a balance between life, work, and physical health.

2. Where does the ideal client live?

In order to provide prompt service to clients and properly manage the limited time a small business owner or business professional has, the ideal client is located in North America. Exact geographical location outside of that does not matter, as this is a virtual coaching company.

3. How old is the ideal client?

The ideal client is between the ages of 30 and 45 and is most likely settling into their second job in the same profession.

4. How long is the average client enrolled in coaching for?

Based on previous experience with in-person training and nutrition clients, the average client will need to be enrolled in the coaching program for at least 3 months before achieving their goals and possessing the knowledge to manage their own nutrition and training.

5. Are there any other specifics about the ideal client?

Based on both personal and professional experiences, the ideal client has one to two children under the age of 10. Experience in finding ways to balance training with family life, in addition to work, allows the company to bring a unique and sought-after service to clients.

Products and Services

Online Personal Training is not a product *per se*, but rather a service. The product description in the business plan must include detailed descriptions of what features will be brought to the market and what makes the product or service unique. Products and/or services should always be improving and changing. Offering the same service with no improvements is a quick way to become irrelevant in the highly competitive landscape of businesses, especially with online businesses. With that said, the downfall of many entrepreneurs is trying to perfect their product too much prior to actually having real-world feedback.

This section of the business plan should focus on the **minimum viable product (MVP)** that the business will be starting with. Remember the business plan is a living document that can be modified and updated as product offerings change. There are many approaches to developing an MVP. In this section, it will be broken down step-by-step to develop multiple product offerings that can get to market quickly and are easy to improve based on feedback from customers.

Helpful Hint

Before starting to develop the MVP, do some simple market research and gain insight to what future competitors are doing. If the top competitors of the business are known, browse those companies' websites, e-mail the companies with questions, and read their content. If the business's competitors are unknown, search online for keywords that potential clients would most likely use to find services the business is going to offer. This is not to steal anything from competitors but, rather, to ensure the business is offering industry-standard items. The fitness professional may even find that what all competitor companies offer is not good enough for their clients and they will have the opportunity to build an industry-changing product.

Minimum viable product (MVP)

A product that provides the bare minimum features to satisfy customer demand – this is the foundation for a product that will be developed and modified based on market feedback.

Chapter 2Building a Business

Lesson 2Building a Virtual Coaching Business Plan: Part I

The first step is to develop a base service. This base service forms the foundation for the USP and should be something the target market audience needs, as discussed in the previous section. Building on the example of offering online coaching to busy professionals, the base service will be set as Online Fitness Coaching.

Now that the product has been established, it is time to expand on what that product will actually include. These are the **features and benefits**. Benefits of a product will be discussed in the sales section of this chapter. For product development, the focus will be on features.

Features are the USP of a business's services—essentially, what the service is. This is when the fitness professional will use their creativity and passion to accurately describe their product. To illustrate this point, here is an example of some simple features of a common dry-erase marker:

1. Bright, vibrant colors
2. Ergonomic fit to left or right hand
3. Strong, durable casing
4. Ability to write on multiple surfaces
5. Easily erased
6. Secure cap to prevent accidental markings
7. Soft felt tip that does not require sharpening
8. Disposable, no messy ink to refill



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These features are not unique; they are features shared by almost all dry-erase markers. However, the fitness professional should be able to emphasize not only the uniqueness of their product, but uniquely emphasize the common features of their product. Now, using this strategy to find the features of Online Fitness Coaching, it is possible to develop answers for the example company.

Please note: This is not meant to be an all-inclusive list of what online coaching is or should be but simply a list for the specific example company that is being built.

Features and benefits

Features are descriptions of what a product or service offers customers – Benefits are how those features help solve a customer's problem.

Features of Online Fitness Coaching Example

1. Weekly check-ins with the coach that build toward sustainable fitness
2. Custom training programs built around goals
3. 24/7 e-mail access to the coach with a guaranteed reply within 24 hours
4. Access to the client-only newsletter, discussing the latest evidence-based fitness practices
5. Coaching designed with flexibility in mind for individuals with busy schedules

This simple list of only five features highlights common offerings in online fitness coaching. However, most online coaches do not promote their common features (1 to 4) and simply highlight their USP (5). A common example of this in other industries is the Schlitz Beer company, which took their product to the top selling beer in the world simply by highlighting how beer was made as their USP. Their technique was standard in the beer industry, but no companies had mentioned how beer was made before Schlitz (Harter, 2018).

Business Plan Questions

1. What are two common competitor features that the company might offer clients?
2. What are two standard features that other companies are not highlighting?
3. Describe the USP in 1 to 2 sentences.

The features have now been created for the product, Online Fitness Coaching. The example company officially has its first product. However, having one product is not good for the longer-term plan of gaining feedback and modifying the product. Therefore, a few offerings should be created based on the core product, Online Fitness Coaching.

Helpful Hint

Find balance when offering multiple products and services. Not only will the fitness professional put a lot of time and effort into developing products that may not be successful, it may actually hurt sales. Overchoice is when there are so many options in the marketplace that a buyer is overwhelmed and may choose to not purchase anything at all (Settle & Golden, 1974).

First, take the example company's base product of Online Fitness Coaching and expanding it into three distinct product offerings:

1. Online Exercise Coaching
2. Online Nutrition Coaching
3. Online Exercise and Nutrition Coaching (which contains both exercise and nutrition coaching)

The company will need to modify its USP or features from the original product to fit these expanded offerings. There will be some crossover and additional features. This is commonly seen in pricing charts, as seen in **Table: Online Fitness Coaching Product Features Examples**.

Online Fitness Coaching Product Features Examples

Online Exercise Coaching	**Online Nutrition Coaching**	**Online Exercise and Nutrition Coaching**
Weekly check-ins with the coach that build toward sustainable exercise habits	Weekly check-ins with the coach that build toward sustainable nutrition habits	Weekly check-ins with the coach that build toward sustainable exercise and nutrition habits
Custom exercise training programs built around goals and preferences	Custom nutrition program built around goals and preferences	Custom exercise and nutrition programs built around goals and preferences
24/7 email access to the coach with a guaranteed reply within 24 hours	24/7 email access to the coach with a guaranteed reply within 24 hours	24/7 email access to the coach with a guaranteed reply within 24 hours
Access to the client-only newsletter, discussing the latest evidence-based exercise practices	Access to the client-only newsletter, discussing the latest evidence-based nutrition practices	Access to the client only newsletter, discussing the latest evidence-based exercise and nutrition practices
Coaching designed with flexibility in mind for individuals with busy schedules	Coaching designed with flexibility in mind for individuals with busy schedules	Coaching designed with flexibility in mind for individuals with busy schedules

With this update, there are now three products to offer clients and test in the marketplace. Because of this, there have also been simple upgrades and add-ons developed for clients, which will increase sales. For instance, if a client enrolls in Online Exercise Coaching, but after a consultation with the business owner feels they should also partake in nutrition coaching, it is a simple upsell offer to Complete Online Fitness Coaching. This will also work in reverse to increase **customer's lifetime value (CLV)**. If a client is canceling their services at $150 per month for Complete Online Fitness Coaching, the fitness professional can offer to downgrade the client to either nutrition or exercise coaching at only $100 per month.

Customer lifetime value (CLV)

The amount that a customer will spend with business over a lifetime.

Each of these three offerings will be further developed to produce quality minimum viable products (MVPs) that will provide product add-ons, options, and a pricing structure that will be competitive in the marketplace.

Business Plan Questions

1. What is the core service?
2. What are two variations of that service and how do those variations relate to the core service?
3. What is one unique feature for each of those new variations?

Executive Fitness Example

1. What is the core service?

The core service for Executive Fitness is Complete Online Fitness Coaching, which includes both exercise and nutrition coaching.

2. What are two variations of that service and how do those variations relate to the core service?

Two components of Complete Online Fitness Coaching will be exercise and nutrition coaching. These can each be turned into a standalone service and then offered as the original, combined service. Both exercise and nutrition coaching are components of the core service that can be broken down into separate services to meet the demands and goals of clients.

3. What is one unique feature for each of those new variations?

Clients now have programs that are customized to focus on areas of their health that they feel they need the most support from a trainer on, instead of a one-size-fits-all package.

Canned, Predesigned Programs

Many online personal trainers seek to write predesigned exercise and nutrition programs and sell them as one-off purchases. This approach may not be the most sustainable path for all businesses to take. Just like working with an in-person training client, training programs should be customized for each person. A training program that works for a 28-year-old former college athlete who wants to focus on muscle hypertrophy most likely will not work for a 65-year-old who wants to improve their ability to carry grocery bags up the stairs.



Figure Customize Predesigned Training Templates

Consider the customer lifetime value (CLV). A customer who makes a recurring monthly payment for customized training at $100 per month for 4 months is worth 16 times more than someone who pays $25 for a one-time exercise program. They are also more likely to refer clients back to the business versus the templated training program that can be e-mailed to a friend.

This is not to say templates do not have a place in business. Templates can be massive time savers for the busy fitness professional and can make processes and work more efficient and consistent. Having pre-made training templates that are easy for the business owner to modify and customize for each client will save hours of work developing programming for each client (**Figure: Customize Predesigned Training Templates**). While similar, this differs from using a generic approach to programming for every client. For instance, developing five training templates with no specific exercises can save time having to recreate the same thing for every client.

Here are some template examples:

- Template 1: A 2-day-per-week full-body program
- Template 2: A 3-day-per-week program broken down into push/pull/legs
- Template 3: A 5-day-per-week program consisting of back/biceps, shoulders/chest/triceps, and legs

Lastly, consider the customer acquisition cost (CAC). New customers are not free—they cost time, money, and energy. The business may not have a marketing budget, but the time that is spent making sales and creating content is time away from running the business and time away from providing services to clients. It is generally more cost effective to sell to someone who is already a customer than to try and acquire a new customer.

Live One-on-One Coaching

Now that the three product offerings have been developed in nutrition, exercise/training, and nutrition and exercise coaching combined, it is time to build further on these products and provide some additional options to future clients. It is important to have valuable products for upsell to a client that they will benefit from. This will not only help clients increase their overall success but will also help boost the company's revenue as the CLV increases with each add-on. A simple option for this is to offer live video coaching for clients (**Figure: Live Video Coaching**). This is especially useful when the fitness professional is starting out and does not have a large client base. It enables the fitness professional to spend more time per client and obtain direct and instant feedback, and it provides more income per client for the business owner while they grow their business.

Continuing with the example company, three product offerings have been developed:

1. Online Exercise Coaching
2. Online Nutrition Coaching
3. Complete Online Fitness Coaching



FigureLive Video Coaching

A simple add-on for each of these products is a single-session video consultation. For a nutrition client, this could include a video call with the client while they go grocery shopping, being right there with them while they navigate the grocery store and work to make healthier food choices. For an exercise training client, this could include form checks or navigating the gym for a client who is nervous about going alone. Another option for add-ons is an in-person session. If the business owner has an online client who is local to their area, they could train with them at their gym, home, or outside (depending on their training/goals). For the nutrition client, they could actually go grocery shopping with them or help them learn how to meal prep. Adding these on to the product offerings, there is now a product line (**Table: Upsell Options and Add-Ons**).

Upsell Options and Add-Ons

Online Exercise Coaching	Online Nutrition Coaching	Online Exercise and Nutrition Coaching

Upsell option: Fitness and Nutrition Coaching	Upsell option: Fitness and Nutrition Coaching	Upsell option: N/A
Add-on option: Additional, 30-minute live video consult	Add-on option: Additional, 30-minute live video consult	Add-on option: Additional, 30-minute live video consult

With multiple coaching options, the chances have increased to upsell products to clients who will benefit from them, offer premium add-ons for existing clients, and keep the product overload to a minimum. The final step is pricing services and add-ons.

Hybrid Model

The fitness professional also has the opportunity to build out their virtual coaching business with in-person clients, as well. This can allow the fitness professional to retain clients longer, take on a greater client load, and build their own online business while still working as an in-person trainer.

Options for this include the following:

1. Working with nutrition clients online
2. Intermediate- to advanced-level training clients who may not need direct supervision of a personal trainer but would like accountability and program design
3. Utilizing client referrals for friends and family who may not be local to the training facility

Coach's Corner

The entrepreneur should keep their focus on their primary goal—their virtual coaching business. While the financial and employment stability that may come with an existing in-person training career is comfortable, the entrepreneur should ensure their attention is set on growing their online business. One of the many benefits of virtual coaching is the ability to take on more clients compared to in-person training. Spending valuable time with in-person training clients not only limits the personal trainer’s earning capability, but it can greatly slow down the rate of growth for the virtual business. The entrepreneur should find a balance between the two that steadily shifts focus toward the virtual coaching business.

Market and Competitive Analysis

Fitness is an extremely competitive space, with almost 650,000 Americans employed by fitness or recreation centers and an expected growth rate of approximately 15% between 2018 to 2028 (Torpey, 2020; U.S. Bureau of Labor Statistics, 2019). There is no difficulty in finding competitors in the fitness industry, no matter what niche a business targets. Analyzing the competitors in a market can be a daunting task; however, using a few key metrics (e.g., number of competitors in the market, average price of services, and the number of service variations offered) and incorporating a simplistic approach to designing pricing models and a target market, the fitness professional can save time and produce a quality business plan that will accelerate their growth by avoiding costly mistakes.



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When pricing any product, it is important to already know who the target market will be, what features will be offered with a well-defined product, and what variations of the product will be created. Once the fitness professional has these determined, they can take a look into the pricing of their competitors and accurately price themselves for the market. If the price is too low, there will not be enough revenue to pay the business owner a reasonable salary for work they have performed. If the price is too high, the business owner runs the risk of not having enough clients to pay themselves at all, or worse, they will have no clients. Many strategies exist for setting pricing for a new product. The most relevant and practical strategies will be broken down, including their benefits and downsides, and eventually one will be chosen for the example company. Before picking a pricing strategy, the fitness professional should conduct market research of future competitors in the area.

A simple online search for terms related to the target market and online coaching will produce ample results. Using the example company, a search for “online fitness coaching busy professionals” produced five quality results on the first page of the search engine. This provided pricing for five companies that offer online monthly coaching as follows in **Table: Market Research Results Example**.

Market Research Results Example

Company	**1**	**2**	**3**	**4**	**5**
Price	$199	$125	$595	$159	$139

The average price for monthly online coaching with these five companies is $243.

All of these companies offer similar services, each having their own unique USP. After this competitive analysis, it is known the average price in the market for online coaching is $243 per month and that the range in pricing for similar services is wide.

Pricing Strategies

The following are four different pricing strategies that will help guide the entrepreneur pricing strategy in a simple way:

Economy Pricing: Low priced, affordable pricing for everyone – Profit margins in this pricing category are small. This pricing strategy is designed to target a mass, broad market. In a service industry, this pricing strategy is typically reserved for large corporations.

Skimming Pricing: This pricing strategy charges a higher price at the start of the company and eventually lowers the pricing as more competitors enter the market. This strategy is typically used for companies entering a new market or market segment that is not very competitive.

Penetration Pricing: This strategy sets pricing lower at the start of the company in order to gain a share of the market quickly. Once the business has met its market share goals, prices are raised to a higher level. This strategy also allows for feedback from customers and helps with the decision on where a valid price point should be set.

Premium Pricing: Setting a high price is used to define the product or brand as a luxury item. In the mind of the consumer, the high price must mean a high-quality product. This strategy is used by high-end brands in the automotive and luxury watch industries.

Quality of Product and Pricing

		Quality of Product	
		Low	High
Price	Low	Economy	Penetration
	High	Skimming	Premium

Note that the entrepreneur may pivot at different points in time to different pricing strategies based on sales and feedback from customers. However, ensure that the business plan is updated to consider the new pricing strategy.

Whichever pricing model is chosen, price according to the target market. If the target market is college students, the pricing will need to be at the lower end of the market. If the target market is celebrities, then pricing will need to be at the higher end of the market.

Business Plan Questions

1. Will the service best fit into an economy, penetration, skimming, or premium price strategy?
2. Will the company charge a one-time, pre-paid package fee or a recurring monthly subscription?
3. Will the company test other pricing strategies or price points?

Executive Fitness Example

1. Will the service best fit into an economy, penetration, skimming, or premium price strategy?

The long-term goal of the service is to be priced as a premium service. To start the company and ensure that service quality commands a premium price point, services will be priced in the middle of the market, in a hybrid of penetration and premium pricing.

2. Will the company charge a one-time, pre-paid package fee or a recurring monthly subscription?

The product will be a recurring monthly subscription with a 3-month minimum subscription required. This will help to keep the cost lower, but still offer premium pricing. This will also allow the company to have a more predictable revenue stream.

3. Will the company test other pricing strategies or price points?

Utilizing feedback from clients and comparing that with projections and goals, the company will adjust pricing accordingly at 3-month intervals in the first year of business.

Continuing with the example company, because research showed there is a wide range of prices in the market, it is time to discover where the example company falls in the market. For this, a simple solution is to use a hybrid of the premium and penetration pricing models and be prepared to adjust based on feedback from clients. Setting a price around the average market price of $243 and deciding on $249 will put the business into a prime position for the average consumer. (Using an odd number for pricing is called psychological pricing—there is more resistance to $250 versus $249).

Helpful Hint

Do not change prices too often. Re-evaluate pricing every 3 months in the first year of business, every 6 months in the second year, and then yearly thereafter. Also, consider inflation in the economy. The average inflation rate is 3%, which means that prices will double about every 20 years. If prices are set at $100 for 10 years and that price is suddenly increased to $150 to offset inflation, many customers will be unhappy. However, a smart entrepreneur will plan for price increases. A good rule of thumb is a 5% price increase every other year or 10% every 3 years. This will help prevent a pricing shock to customers and a decline in purchasing power over time.

The example company now has a price of $249 for the coaching product, but still has three products. Pricing all three at the same rate would not give customers a price choice and makes it harder for the consumer to differentiate between products. $249 can be used for the base price or the upgrade price. The example company will use $249 as the upgrade and $199 for the base price, as a 25% upgrade price ($50 in this example) is a substantial revenue increase for the business, and a fair price for the client. Refer to **Table: Base Price and Upgrade Price Example** for the pricing options.

Base Price and Upgrade Price Example

Online Exercise Coaching	**Online Nutrition Coaching**	**Complete Online Fitness Coaching**
$199/month	$199/month	$249/month

The company now has three products, each with their own pricing and the ability for clients to upgrade or downgrade. Downgrading is an important option to provide clients. It is better to have a client downgrade rather than leave altogether. Using these tools, the entrepreneur can create their own product lineup and pricing models that allow for products to be priced competitively in the market, upsell useful services to clients, and retain clients with different services that meet a client's changing needs.

Helpful Hint

- Add-ons can either cost more than the original product and require less sales or can cost less but will require more sales.
    - Cost more: less products that need to be created
    - Cost less: will need new products more often to keep small amounts of money coming in
- After operating for 6 months, the entrepreneur should re-evaluate services that are selling and see if they can find where most of their revenue comes from.
    - For example, if a business has 80% of their sales coming from 20% of their products (referred to as the Pareto Principle or the 80/20 principle), drop products that do not sell and/or do not generate enough revenue to warrant continued development.

Food for Thought

Two common pricing options include having many clients who pay a little or a few clients who pay a lot. Having a few clients who pay more typically means there will be fewer daily headaches. It is easier to communicate with 10 people versus 100. The tradeoff for that is if two clients leave, the business will lose 20% of its income. One of the important factors of pricing is to find a balance between workload and revenue security.